

The Truth About

Sh. Kamal Nath, Minister of Commerce & Industry, Government of India, clears the air about SEZs in an exclusive interview

Q The SEZs have run into huge controversy. You've tried to ensure that cultivable land is not acquired for SEZs but most land that is being bought right now is farmland. What do you now propose to do, to make the industrial development being targeted through SEZs directly beneficial to farmers as well?

A No, this is not correct at all. Nobody has ever questioned the merits of Special Economic Zones or its economic potential. Let me also clarify that SEZs are simply industrial clusters with a good infrastructure meant for economic activity/exports. Parliament cleared the SEZ Bill in 2005 and SEZ Act & Rules were notified in February 2006. In other words, the SEZ policy has been operationalised with the approval of our Parliament and of the Cabinet.

Of course, in cases where the issue of land is involved, I have repeatedly said that it must be equitable, it must be fair and it must be at the right price so as to be fair to the farmers and inclusive of the people. This is what the Prime Minister and Ms. Sonia Gandhi have said and I fully agree with this. We must not confuse SEZs with land acquisition. These are two distinct things.

We have been aware of the need to look at land acquisition and simultaneously, look at rehabilitation. Hence, suitable directions have been given by the Empowered Group of Ministers (EGOM) to the Board of Approvals so that applications for SEZs are processed, subject to the condition that the State Governments would not undertake any compulsory acquisition of land for such SEZs. Ministry of Rural Development has been requested to reformulate a Land Acquisition Act to address all relevant issues. Moreover, a comprehensive Resettlement and Rehabilitation Policy is being worked out to ensure that a job is given in the SEZs to at least one person from each displaced family. These measures are intended to address the concerns of the kind that you are mentioning and would take care of the interests of stakeholders, including the farmers.

